

cent and you will have to fork out the LMI. Alternatively, if you have saved a deposit of \$100,000 and borrow \$400,000 for that same \$500,000 property, your mortgage has an LVR of 80 per cent, and you are exempt from paying the LMI.

Mortgage interest rate

Banks will generally adjust the interest rate they offer customers who have property loans, in line with the RBA's cash rate rises and falls. However, they are not obliged to pass them on or may do so only on a portion of the official rate change. There are two main types of interest rates: floating and fixed. You can have both of these, by discussing with your lender how you can split a home loan between them; it's worth getting financial advice in this scenario.

Floating/variable: Your mortgage interest rate goes up and down at the discretion of the RBA and the banks.

Fixed: Your mortgage interest rate is set over a period of time, and it remains the same even if the RBA moves the cash rate, and your bank changes its variable mortgage interest rate.

Net income

Your salary after tax is deducted – this is what you 'take home'.

Official cash rate (OCR)

The rate at which commercial banks borrow money overnight from the Reserve Bank of Australia. The OCR is a tool for monetary policy, and largely defines the interest rate that a lender will offer you. The RBA lifts and lowers cash rates to make tweaks to how the overall economy is performing, like corrections to a car's steering wheel to keep it on track, with the aim of keeping unemployment and inflation (the rising prices of products and services) low.

Typically, cutting the cash rate makes taking on debt cheap and encourages spending; increasing the rate makes spending less attractive, because people are allocating more of their salary to paying back debts and less on other products and services.